

Canara Bank (CANBK)

ROE 16.72%	ROCE 3.16%	NPM 13.94%
D/E 14.87	Revenue CAGR 18.18%	FCF 13,296.00

Sector: Financial Services | **Sub-sector:** Financial Services

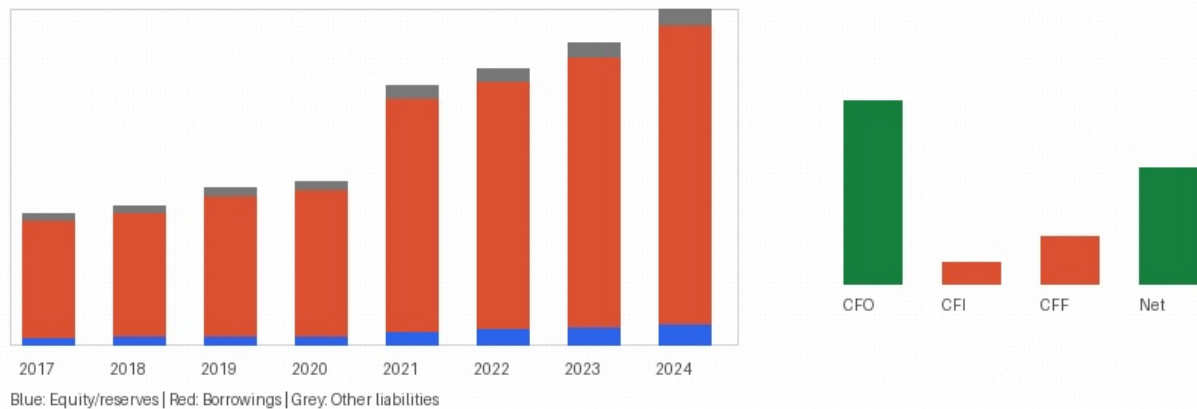
SIMULATED: stock_prices and market_cap datasets are simulated where used for valuation or price context.

Canara Bank was merged with erstwhile Syndicate Bank in FY21. Canara was incorporated in 1906 and nationalised in 1969, along with 13 other major commercial banks of India, by the GoI. The bank is headquartered in Bangalore.

Revenue, Net Profit, ROE and ROCE trend



Balance sheet composition and latest cash-flow waterfall



Pros	Cons
Revenue growing at above 15% CAGR over 5 years reflects strong business momentum	Debt-to-equity ratio of 14.87 is elevated for a non-financial company and warrants monitoring
Operating profit margin above 25% indicates strong pricing power and cost discipline	Operating margins declining for 3 consecutive years suggest pricing or cost pressure
Net profit compounding at above 20% over 5 years creates significant shareholder value	Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
Consistent dividend yield above 2% backed by positive free cash flow	Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Reinvestor